

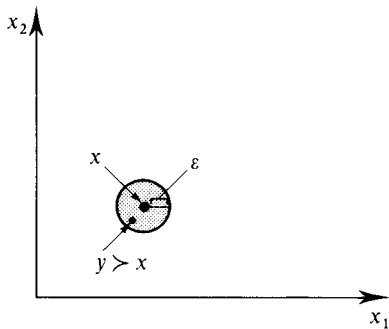


Figure 3.B.1

The test for local nonsatiation.

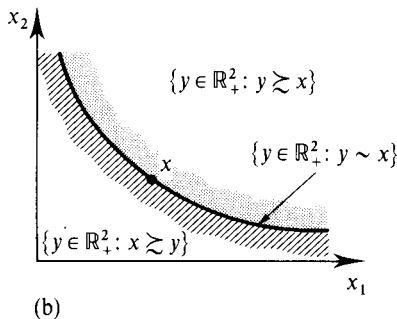
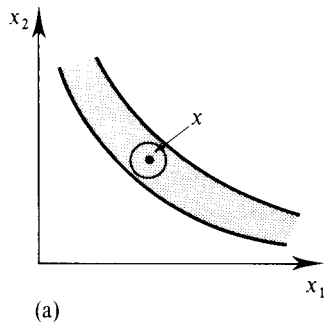


Figure 3.B.2

(a) A thick indifference set violates local nonsatiation.
(b) Preferences compatible with local nonsatiation.